# RESEARCH EVOLUTION BRIEF — IREN LIMITED (NASDAQ: IREN)

Student: Elliot | Course: FIN 43900 | Edition A (2026-09-03) to Edition B (2026-10-08) Trajectory

## 1. Edition A — Unchanged Brightspace Baseline

**Baseline File:** IREN_2026-09-03_report.md | **Immutable Commit:** 27108195fbd49f6c7d1fb5d0fa7ddd61fec45ecd (September 3, 2026).
**Original Recommendation:** WATCH / DEFER based on qualitative trade-offs between rapid AI Cloud growth ($128.8M) and massive financial burn (FY26 net loss of $(702.6)M, $13.81B in capital commitments, and $11.0B in external financing). Edition A is preserved intact in the repository root.

## 2. Dated Correction Addendum

• **SEC Form Transition (20-F to 10-K):** FY24 figures were restated under US GAAP following IREN's transition from an Australian FPI to a domestic filer.
• **Capex Aggregator Distortion:** Corrected aggregator capex ($2,998M) by identifying $1,335.1M in computer hardware payments, establishing actual cash capex of $4,333.1M.
• **Share Count Multi-Basis:** Reconciled Cover Page basic count (394.06M), Balance Sheet ending count (380.19M), and Diluted weighted-average count (316.12M).

## 3. Edition B — A-to-B Evidence Table

| Item | Edition A (2026-09-03) | Edition B (2026-10-08) | Primary Driver | Justifying Evidence & Tests |
|---|---|---|---|---|
| **Thesis & Action** | WATCH / DEFER based on qualitative capex hesitation. | WATCH / DEFER rigorously affirmed: DCF yields $12.12/sh vs $45.73 market price. | Own Analysis & Modeling | Pro-forma model proves market price trades at ~280% premium to intrinsic operating value. |
| **Model Architecture** | Multiples outline and high-level DCF framework. | Integrated 5-Year 3-Statement Pro-Forma FCFF Enterprise DCF + WACC bridge. | Course Instruction & Own Build | Statements articulate with zero gap (Gap = 0.0000). Connects operations to enterprise bridge. |
| **Historical Sourcing** | Initial Form 10-K review of headline totals. | Audited 3-year history grid; corrected $1.34B hardware capex undercounting. | Independent Auditing | Traced Form 10-K Cash Flow Stmt. p. F-9; verified $0 inventory on balance sheet p. F-6. |
| **Sensitivities & Spans** | Broad qualitative risks (power, GPUs, contracts). | Quantified one-at-a-time spans: Capacity Energization ($15.19) > Power Margin ($5.65). | Course Instruction & Own Sensitivity Suite | Labs 11 & 12 sensitivity engines isolated causal links: revenue scale drives 2.7x the value impact of margin. |
| **Validation & Failure Gates** | No code testing or automated accounting gates. | Triple validation suite: ABG known-answer ($291.75), refusal gates, and locked changed-input test. | Validation Protocol | Injected +$500M cash error halted script. Monotonicity confirmed across all tests. |

## 4. What Changed from Edition A to Edition B, and Why?

The central committee recommendation did **not** change: both editions conclude that the fund must **WATCH / DEFER**. However, the analytical authority supporting the decision evolved from subjective qualitative skepticism into audited quantitative proof. Edition B establishes that even with aggressive hyperscaler revenue scaling to $3.5B and 70% cash gross margins, the massive $4.3B initial capex and $7.8B debt load limit fundamental equity value to $12.12 per share. The market price ($45.73) prices in multi-decade perfection without execution buffer. The committee's deferral is mathematically validated.